AUDIT REPORT · OIG-2027-09

Grants Management Audit

The Inspector General's review of how the Workforce Development Office administers its $84M federal grant portfolio.

The finding: the office is materially compliant, with three correctable control gaps.

We reviewed grant administration against the federal Uniform Guidance. The office meets most requirements, but three control gaps — in subrecipient monitoring, time-and-effort certification, and conflict-of-interest disclosure — expose it to disallowed-cost risk. All three are remediable this fiscal year.

What we audited, and against what standard.

We examined 62 grant awards totalling $84M over two fiscal years, testing them against the federal Uniform Guidance (2 CFR 200). The scope covered award, monitoring, financial reporting, and closeout. Sampling was risk-weighted toward the largest and oldest awards.

How we tested compliance.

We traced a stratified sample of 240 transactions to source documents, interviewed 14 program and finance staff, and re-performed the office's own monitoring checks. Each requirement was rated compliant, partially compliant, or non-compliant against the cited regulation.

Where the office stands against each Uniform Guidance obligation.

REQUIREMENT	AWARD	MONITOR	REPORT	CLOSE
Subrecipient oversight	✓	⊖	✓	✓
Time & effort	✓	⊖	⊖	✓
Conflict of interest	⊖	⊖	✓	✓
Financial reporting	✓	✓	✓	✓
Procurement standards	✓	✓	✓	⊖

Filled = compliant, half = partially compliant, empty = non-compliant.

The three gaps, in order of exposure.

Subrecipient monitoring is the largest: 4 of 18 subrecipients had no documented risk assessment. Time-and-effort certifications ran an average of 47 days late. Conflict-of-interest disclosures were missing for 3 of 31 award-decision staff. None produced a confirmed disallowed cost — yet.

Where each finding sits on likelihood against financial impact.

Likely · Low impact.

Late time-and-effort certifications

Likely · High impact.

Unmonitored subrecipients holding large awards

Unlikely · Low impact.

Isolated procurement-doc gaps at closeout

Unlikely · High impact.

Undisclosed conflict tainting an award decision

Read for exposure: the same findings as a risk heat map.

REQUIREMENT	AWARD	MONITOR	REPORT	CLOSE
Subrecipient oversight	○	✓	○	○
Time & effort	○	✓	⊖	○
Conflict of interest	⊖	✓	○	○
Financial reporting	○	○	○	○
Procurement standards	○	○	○	⊖

Filled = high exposure, half = moderate, empty = controlled.

The remediation plan, sequenced by exposure.

STEP 01

Risk-assess subrecipients

Complete a documented risk assessment for all 18 subrecipients and a monitoring schedule for the four highest-risk within 60 days.

STEP 02

Fix certification cadence

Move time-and-effort certification to a monthly automated workflow, eliminating the 47-day lag, within 90 days.

STEP 03

Close disclosure gaps

Collect outstanding conflict-of-interest disclosures and add a pre-award gate that blocks decisions without one, within 30 days.

STEP 04

Verify and re-test

The OIG re-tests the three controls at the close of the fiscal year and reports residual risk.

What management has committed to, and by when.

01

Subrecipient monitoring restored

All risk assessments documented; quarterly monitoring resumed. Due Q3.

02

Certification lag eliminated

Automated monthly workflow live; zero certifications past 30 days. Due Q3.

03

Disclosure gate in place

No award decision without a current disclosure on file. Due Q2.

04

Independent re-test passed

OIG confirms all three controls operating at year-end. Due Q4.

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Materially compliant, three gaps to close, all fixable this year.